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12. Key Events and Their Impact on Markets

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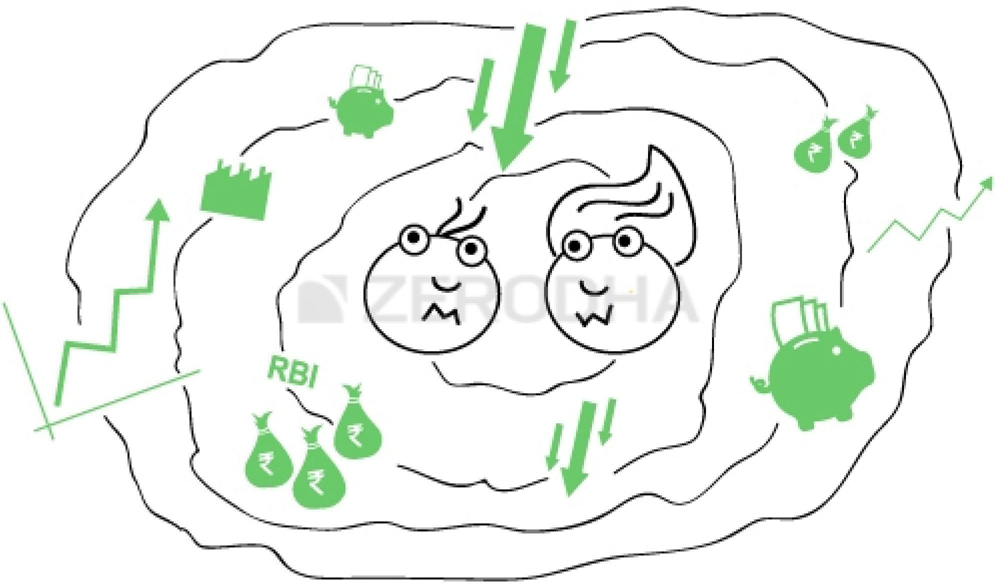

12.1 – Events

Trading or investing based on just company-specific information may not be sufficient. Outside events, both economic and/or non-economic, impact stocks and the market's performance in general. It is also important to understand the events that influence the markets.

In this chapter, we will try to understand some common events and how the stock market reacts to these events.

12.2 – Monetary Policy

The monetary policy is a tool through which the Reserve Bank of India (RBI) controls the money supply by controlling the interest rates. RBI is India's central bank. Likewise, every country's central bank is responsible for setting interest rates. For example, the European Central Bank in Europe and Federal Reserves in the US. Central Banks tweak the interest rates to control the money supply in the mainstream economy.

While setting the interest rates, the RBI has to strike a balance between growth and inflation. In a nutshell – if the interest rates are high, the borrowing rates are high (particularly for corporations). If corporate can't borrow easily, they cannot grow. If corporations don't grow, the economy slows down.

On the other hand, borrowing becomes easier when the interest rates are low. This translates to more money in the hands of corporations and consumers. With more money, there is increased spending which means the sellers tend to increase the prices of goods and services, leading to inflation.

I'd encourage you to watch this YouTube video where I've tried to explain what causes inflation and the means through which RBI controls inflation.

https://www.youtube.com/watch?v=Qx3YMdcLTZo&list=PLX2SHiKfualEyD05J9JsklEq1JFGbG6qJ&index=2

To strike a balance, the RBI has to consider all economic factors and carefully set the key rates. Any imbalance in these rates can lead to economic chaos. The key RBI rates that you need to track are as follows:

Repo Rate – Banks can borrow from the RBI. The rate at which RBI lends money to other banks is called the Repo Rate. If the repo rate is high, the cost of borrowing is high, leading to slow economic growth. You can check the latest repo rate (And other rates, too) on RBI's website. Markets don't like the RBI increasing the repo rates because it slows down economic growth.

Reverse repo rate – Reverse Repo rate is the rate at which RBI borrows money from banks. Or in other words, Reverse Repo is the deposit rate RBI offers to other banks when the banks park funds with RBI. When banks deposit money to RBI, they are certain that RBI will not default, so the rate RBI offers is relatively low. However, the banking system's money supply reduces when banks deposit money with RBI (at a lower rate) instead of the corporate entity. An increase in the reverse repo rate is not great for the economy as it tightens the money supply. Sometimes via the central bank's policy, the central bank mandates higher deposits by banks; again, this is a way to curtail excess money supply in the mainstream economy.

Cash reserve ratio (CRR) – Every bank must maintain funds with RBI. The amount that they maintain is dependent on the CRR. If CRR increases, more money is sucked out of the mainstream economy, which is not good for the economy.

The monetary policy committee members meet regularly to review the economic situation and decide upon these key rates; hence keeping track of the monetary policy event is a must for any active trader. The first to react to rate decisions would be interest-rate sensitive stocks across various sectors such as – banks, automobiles, housing finance, real estate, metals, etc.

12.3 – Inflation

Inflation is a sustained increase in the general prices of goods and services. Increasing inflation erodes the purchasing power of money. All things being equal, if the cost of 1 KG of onion has increased from Rs.15 to Rs.20, this price increase is attributed to inflation. Inflation is inevitable, but a high inflation rate is not desirable as it could lead to economic uneasiness. A high level of inflation tends to send a bad signal to markets. Both the Government and RBI work towards reducing inflation to a manageable level. Inflation is generally measured using an index. If the inflation index increases by certain percentage points, it indicates rising inflation. Likewise, an index falling indicates inflation cooling off.

There are two inflation indices – The Wholesale Price Index (WPI) and Consumer Price Index (CPI).

Wholesale Price Index (WPI) – The WPI indicates the movement in prices at the wholesale level. It captures the price change when goods are bought and sold wholesale. WPI is an easy and convenient method to calculate inflation. The inflation measured here is at an institutional level and does not necessarily capture the consumer's inflation.

Consumer Price Index (CPI)– The CPI, on the other hand, captures the effect of the change in prices at a retail level. As a consumer, CPI inflation is what matters. The calculation of CPI is quite detailed as it involves classifying consumption into various categories and subcategories across urban and rural regions. Each of these categories is made into an index, the final CPI index is a composition of several internal indices. The CPI captures the effect of inflation on daily household consumables like fruits, vegetables, cereals, and even fuels like petrol and diesel.

The computation of CPI is quite rigorous and detailed. It is one of the most critical metrics for studying the economy. A national statistical agency, the Ministry of Statistics and Programme Implementation (MOSPI), publishes the CPI numbers around the 2^{nd} week of every month. The RBI's challenge is to strike a balance between inflation and interest rates. Usually, a low-interest rate tends to increase inflation, and a high-interest rate tends to arrest inflation.

12.4 – Index of Industrial Production (IIP)

The Index of Industrial Production (IIP) is a short-term indicator of the country's industrial sector's progress. The data is released every month (along with inflation data) by the Ministry of Statistics and Programme Implementation (MOSPI). As the name suggests, the IIP measures the Indian industrial sectors' production, keeping a fixed reference point. As of today, India uses the reference point of 2004-05. The reference point is also called the base year.

Roughly about 15 different industries submit their production data to the ministry, which collates the data and releases it as an index number. If the IIP increases, it indicates a vibrant industrial environment (as the production is going up) and hence a positive sign for the economy and markets. A decreasing IIP indicates a sluggish production environment, hence a negative sign for the economy and markets.

To sum up, an upswing in industrial production is good for the economy, and a downswing rings an alarm. As India is getting more industrialized, the relative importance of the Index of Industrial Production is increasing.

A lower IIP number puts pressure on the RBI to lower the interest rates and aid industrial credit with cheaper credit.

12.5 – Purchasing Managers Index (PMI)

The Purchasing managers' index (PMI) is an economic indicator that tries to capture business activity across the country's manufacturing and service sectors. This is a survey-based indicator where the respondents – usually the purchasing managers- indicate their business perception change concerning the previous month. A separate survey is conducted for the service and manufacturing sectors. The data from the survey are consolidated on a single index. Typical areas covered in the survey include new orders, output, business expectations, and employment.

The PMI number usually oscillates around 50. A reading above 50 indicates expansion, and below 50 indicates a contraction in the economy. And reading at 50 indicates no change in the economy.

12.6 – Budget

A Budget is an event during which the Ministry of Finance discusses the country's finance in detail. The Finance Minister, on behalf of the ministry, makes a budget presentation to the entire country. During the budget, major policy announcements and economic reforms are announced, which impacts various industries across the markets. Therefore the budget plays a vital role in the economy.

To illustrate this further, in one of the recent budgets, the expectation was to increase the duties on a cigarette. As expected, during the budget, the Finance Minister raised the duties on a cigarette, so the prices increased. An increased cigarette price has a few implications:

1. Increased cigarette prices discourage smokers from buying cigarettes (needless to say, this is debatable), and hence the profitability of the cigarette manufacturing companies such as ITC decreases. If the profitability decreases, investors may want to sell shares of ITC.
2. If market participants start selling ITC, the markets will come down because ITC is an index heavyweight.

In reaction to the budget announcement, ITC traded 3.5% lower for this precise reason.

A budget is an annual event, and it is announced during the last week of February. However, the budget announcement could be delayed under certain special circumstances, such as a new government formation.

12.7 – Corporate Earnings Announcement

Corporate earning season is perhaps one of the important events to which the stocks react. The listed companies (trading on the stock exchange) must declare their earnings once every quarter, also called the quarterly earnings numbers. During an earnings announcement, the corporate gives out details on various operational activities, including:

1. Revenue growth
2. Expense trend
3. Finance charges
4. Profitability trends
5. Project updates
6. Key trends in the industry

Besides, some companies give an overview of what to expect from the upcoming quarters. This forecast is called 'corporate guidance.'

Invariably every quarter, the first blue-chip company to make the quarterly announcement is Infosys Limited. They also give out guidance regularly. Market participants follow what Infosys has to say regarding guidance as it impacts the markets.

The table below gives you an overview of the earning season in India:

Sl No	Months	Quarter	Result Announcement
01	April to June	Quarter 1 (Q1)	1st week of July
02	July to September	Quarter 2 (Q2)	1st week of Oct
03	October to December	Quarter 3 (Q3)	1st Week of Jan
04	January to March	Quarter 4 (Q4)	1st Week of April

Do note that the 1st of April in India marks the beginning of the financial year. In the US, the financial year starts on 1st Jan, so the first quarter starts from January through March, and so forth.

Every quarter when the company declares its earnings, the market participants match the earnings with their expectations of how much the company should have earned. The market participant's expectation is called the 'street expectation.'

The stock price will react positively if the company's earnings are better than the street expectations. The stock price will react negatively if the actual numbers are lower than the street expectation.

If the street expectation and actual numbers match, the stock price tends to trade flat with a negative bias more often than not. This is mainly because the company could not give any positive surprises.

12.8 – Non Financial events

Apart from the events we discussed above, it would be best to watch out for other non-financial events to understand their impact on markets. For example, the Covid crisis of 2020 had a significant effect on economies around the world, disrupting the world economic order. The supply chain took a hit across the globe leading to an inflation spike. That said, there were select pockets of the economy that did very well, mainly the online services industry.

Events like the Russia – Ukraine war or the tension between China and Taiwan have impacted world markets. Geo-political affairs such as these impact various connected economies. For instance, the war between Russia and Ukraine affects the supply of natural gas and crude oil, which significantly impacts the energy costs in Europe.

As an active trader or a market participant, you need to watch out for these events and understand how these events can impact the markets.

While the world economies are interconnected, isolated events (Country specific) impact the local economy. For example, the elections in India impact only the Indian economy.

So, keep an eye on these non-financial events and how they can impact the stock markets or sometimes specific industries.

Key takeaways from this chapter

1. Markets and individual stocks react to events. Market participants should equip themselves to understand and decipher these events.
2. Monetary policy is one of the most important economic events. During the monetary policy, review actions on a repo, reverse repo, CRR etc. are initiated.
3. Interest rates and inflation are related. Increasing interest rates curbs inflation and vice versa
4. Inflation data is released every month by MOSPI. As a consumer, CPI inflation data is what you need to track.
5. IIP measures industrial production activity. An increase in IIP cheers the markets, and a lower IIP disappoints the market.
6. PMI is a survey-based business sentiment indicator. The PMI number oscillates around 50 marks. Above 50 is good news to markets, and PMI below 50 is not.
7. The Budget is an important market event where policy announcements and reform initiatives are taken. Markets and stocks react strongly to budget announcements.
8. Corporate earnings are reported every quarter. Stocks react mainly due to the variance in actual number versus the street's expectation.
9. Keep an eye on non-financial events and how they can impact the markets.

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1. *Avni Manoj* says:
   June 30, 2026 at 6:50 pm

   Hey Karthik!
   The chapter says Budget is presented in the last week of Feb. As far as I\'m aware its usually the first week or Feb 1 if it is a working day

   Reply

   - *Karthik Rangappa* says:
     July 1, 2026 at 5:25 pm

     Yes, this has changed. Missed update it 🙂

     Reply
2. *Ashu* says:
   September 30, 2025 at 11:43 am

   Hi Varsity Team,

   I like studying from the PDF modules for offline reading and note-making, but I see the website/app keeps updating content.

   What's the best way to study PDFs and stay updated without having to re-read everything? Any tips for tracking new content efficiently?

   Thanks!

   Reply

   - *Karthik Rangappa* says:
     September 30, 2025 at 3:01 pm

     Its difficult to update PDFs 🙁

     Request you to please check the website.

     Reply
   - *Sai Teja* says:
     October 18, 2025 at 1:44 pm

     Hey, are you interested in sharing the notes with me?

     Reply
3. *Md Salman Ashrafi* says:
   July 3, 2025 at 10:33 am

   Sir, the below part can be updated.
   A budget is an annual event, and it is announced during the last week of February.

   Reply

   - *Karthik Rangappa* says:
     July 4, 2025 at 9:10 am

     Ah yes, Salman. Thanks. Will do.

Reply

4. *Prarthana Mittal* says:
May 21, 2025 at 1:08 pm

As a 17y/o this was so helpful. I first watched videos and the concept that I did not understand are now being cleared with the help of these texts (along with chatgpt). This is brilliant!

Reply

- *Karthik Rangappa* says:
May 22, 2025 at 10:00 am

Thanks, and I\’m so glad you found the content on Varsity useful 🙂

Happy learning!

Reply

- *G Adarsh reddy* says:
August 21, 2025 at 1:14 pm

SAME BRO

Reply

5. *Pramod* says:
May 4, 2025 at 3:01 pm

\”if the interest rates are high, the borrowing rates are high\”
Here do you mean by both the rates \”Repo rate\” and \”Reverse Repo Rate\” ? If yes, can you please explain how Reverse repo rate will make borrowing high.

Reply

- *Karthik Rangappa* says:
May 5, 2025 at 7:20 am

This is generally in the context of borrowing rate i.e. the reop rate.

Reply

6. *Tulsi Tankha* says:
February 5, 2025 at 8:12 pm

Hello sir,

Below are some of my questions regarding this module:

1. Is there any ideal percent of inflation that shows the correct balance between inflation and interest rates?
2. The data that the 15 different industries submit to the ministry are based on the top companies production data, or most of the companies submit there production data to industry heads, and then they submit it to the ministry?
3. The survey for PMI is also done by MOSPI?

Thank you.

Reply

- *Karthik Rangappa* says:
  February 6, 2025 at 10:12 am

  1) Not really, but sub 6% is acceptable.
  2) I think it is survey based, so ministry collects data from industries.
  3) Yes

  Reply

7. *Sarath* says:
   September 12, 2024 at 12:40 pm

   Hello Karthik,

   Firstly, Thank you for providing these informative articles using simple vocabulary. Can you please confirm, whether the information about the following events are events are covered in following chapters ? Even a brief explanation of the following terms are not provided. So, just checking!

   Revenue growth
   Expense trend
   Finance charges
   Profitability trends
   Project updates
   Key trends in the industry

   Reply

   - *Karthik Rangappa* says:
     September 13, 2024 at 5:38 am

     Hi Sarath, thanks. These are things I\’ve covered in the fundamental analysis module.

     Reply

8. *Kartik Jangid* says:
   August 27, 2024 at 9:18 pm

   The content is fantastic—clear, insightful, and easy to understand. I really appreciate the effort that went into making it accessible. That said, it would be great to see the site evolve with time. Updating the images and refreshing the UI could make it feel more current, maybe something along the lines of what Finshots has done. Thank you for all the hard work!

   Reply

   - *Karthik Rangappa* says:
     August 28, 2024 at 9:34 am

     Point noted, and thanks for the kind words. Will do.

     Reply

9. *Ashutosh* says:
   August 11, 2024 at 12:58 am

   It will be great if you make a video on how to decipher cpi and wpi data and where to find them.. and give some past examples with charts. Thanks! Learning a lot from varsity.

   Reply

- *Karthik Rangappa* says:
  August 11, 2024 at 12:01 pm

  Sure, noted. Thanks.

  Reply

10. *Qurica Agarwal* says:
June 27, 2024 at 10:30 am

Hello Sir,

First I am blessed to come across Zerodha varsity, I never knew this exists few days back.

Please let me know where can we read corporate guidances. I could see quarterly results on companies websites but couldn\'t find guidances.

Reply

- *Karthik Rangappa* says:
  June 28, 2024 at 9:45 am

  Qurica, I\'m glad you discovered Varsity. I hope you like the content here 🙂

  Usually 3rd party sites like Moneycontrol publishes this data.

  Reply

11. *karan* says:
April 23, 2024 at 9:44 pm

think of a situation where a person working at tcs shares internal information to someone he knows lets say his relatives ? in this case the person will take advantage of insider trading? my question is how sebi would handle this
is there any law or this is still a loop hole?

Reply

- *Karthik Rangappa* says:
  April 24, 2024 at 9:54 am

  As per the insider trading regulation, this is a violation and not permitted.

  Reply

12. *Imtiyaz Parmar* says:
March 24, 2024 at 6:18 pm

It would be helpful if you add all the links where we can actively track CPI, WPI, PMI and PII numbers

Reply

- *Karthik Rangappa* says:
  March 25, 2024 at 10:28 am

  Most of the data is available here – https://www.mospi.gov.in/cpi

  Reply

13. *Vikrant* says:
[March 22, 2024 at 4:15 am]

You have not mentioned about GDP

[Reply]

- *Karthik Rangappa* says:
[March 22, 2024 at 8:19 am]

GDP is not an event but a metric that can evaluated right?

[Reply]

14. *Praveen k* says:
[March 4, 2024 at 7:12 pm]

when i searching the Index of Industrial Production (IIP) in India I got Mining index, Manufacturing index, Electricity index, General index. is it the sum of these index is the IIP?

[Reply]

- *Karthik Rangappa* says:
[March 5, 2024 at 10:27 am]

Yes, while they are sector specific indices, IIP is for manufaturing, which is a larger index.

[Reply]

15. *Anoop Mohanty* says:
[February 9, 2024 at 6:24 am]

Reply to the Query above – SAST stands for SAST(Substantial Acquisition of Shares and Takeovers) Regulations, 2011

[Reply]

16. *Tulsi Tankha* says:
[January 16, 2024 at 9:34 am]

Hello sir,

I wanted to ask if street expectations about the company\'s earnings depend on the performance and corporate guidance of previous quarters and the performance of the industry and competitors as a whole.

Also, how has this 50-index mark been decided in PMI?

Thank you.

[Reply]

- *Karthik Rangappa* says:
[January 17, 2024 at 7:44 am]

Thats right, all of that gets factored in – guidance, how industry is performing, headwinds, tailwinds etc.

Its a survey, not sure about the qualifications to get qualified for that survey.

Reply

17. *Achuthan* says:
December 31, 2023 at 10:21 am

Thank you!

Reply

- *Karthik Rangappa* says:
January 1, 2024 at 7:02 am

Happy learning!

Reply

18. *Achuthan* says:
December 30, 2023 at 10:41 pm

Hi, how does increase in fiscal deficit affects the broader index like NIFTY in general?

Reply

- *Karthik Rangappa* says:
December 31, 2023 at 7:01 am

An expanding fiscal deficit means tighter economy, which is not good for the markets as well, which further means that the market will trend lower.

Reply

19. *Shambhavi* says:
December 30, 2023 at 11:16 am

Hi Karthik,

\"Cash reserve ratio (CRR) – Every bank must maintain funds with RBI. The amount that they maintain is dependent on the CRR. If CRR increases, more money is sucked out of the mainstream economy, which is not good for the economy.\"

I would suggest to correct this as \" which is not good for the immediate growth of the economy\"

Reply

- *Karthik Rangappa* says:
December 31, 2023 at 5:41 am

Makes sense, thanks for pointing that out.

Reply

20. *Neethu* says:
November 21, 2023 at 9:03 am

Hii,

From where can one get data on PMI, Like from which website?

Reply

- *Karthik Rangappa* says:
  [November 21, 2023 at 10:42 am]

  Govt sites, please do look up 🙂

  Reply

21. *Hardik* says:
October 26, 2023 at 12:20 pm

In which sector is PMI index mainly used, if we refer to it in the market.

Reply

- *Karthik Rangappa* says:
  October 27, 2023 at 9:59 am

  It is a manufacturing index, applicable to all sorts of factories manufacturing stuff.

  Reply

22. *Hardik* says:
October 26, 2023 at 12:16 pm

Do we have to look at all the mentioned indicators while transacting in the market or their is any specific indicator which can give us a wide perspective of all the variations happening in the market.

Reply

- *Karthik Rangappa* says:
  October 27, 2023 at 9:57 am

  No, you pick and choose what really works for you. Usually the indicator that you understand well is what works for you.

  Reply

23. *yashwanth* says:
October 5, 2023 at 10:06 pm

thank you sir

Reply

24. *yashwanth* says:
October 3, 2023 at 11:24 pm

how can we track monetary policies?

Reply

- *Karthik Rangappa* says:
  October 4, 2023 at 7:57 am

  Check for press release here – https://www.rbi.org.in/

  Reply

25. *Aniket Baliga* says:
[September 22, 2023 at 11:00 am]

Please explain – \"A lower IIP number puts pressure on the RBI to lower the interest rates and aid industrial credit with cheaper credit.\"

Reply

   - *Karthik Rangappa* says:
     September 23, 2023 at 10:28 am

     Same link 🙂

     https://www.youtube.com/watch?v=Qx3YMdcLTZo&list=PLX2SHiKfualEyD05J9JsklEq1JFGbG6qJ&index=2

     Reply

26. *Aniket Baliga* says:
September 22, 2023 at 10:53 am

Please explain – \"Usually, a low-interest rate tends to increase inflation, and a high-interest rate tends to arrest inflation.\"

Reply

   - *Karthik Rangappa* says:
     September 23, 2023 at 10:28 am

     Here you go 🙂

     https://www.youtube.com/watch?v=Qx3YMdcLTZo&list=PLX2SHiKfualEyD05J9JsklEq1JFGbG6qJ&index=2

     Reply

27. *Nimit* says:
September 5, 2023 at 6:04 pm

A long term investor should actually care about market events?

Reply

   - *Karthik Rangappa* says:
     September 6, 2023 at 9:11 am

     Its good to keep an eye out, Nimit. If not for anything, you may also spot opportunities to make long-term investments.

     Reply

28. *Geeta* says:
August 31, 2023 at 10:13 pm

Good information mainly for freshers in this field

Reply

- *Karthik Rangappa* says:
  [September 1, 2023 at 10:38 am]

  Happy learning!

  [Reply]

29. *natarajan* says:
[August 15, 2023 at 2:24 pm]

can anyone explain (CPI) in simple terms and
How it affects the stock market?

[Reply]

- *Karthik Rangappa* says:
  [August 16, 2023 at 9:04 am]

  Check this – https://zerodha.com/varsity/chapter/basics-of-macro-economics/ and this as well – https://www.youtube.com/watch?v=Qx3YMdcLTZo&list=PLX2SHiKfualEyD05J9JsklEq1JFGbG6qJ&index=2

  [Reply]

30. *Jeesu Nandy* says:
[July 21, 2023 at 3:27 pm]

at 5 min chart candle who take trades after 3:15 pm , no delivery nor intraday trade happen at that time, if no one take trade how the price of the share rise or fall without buy or sell

[Reply]

- *Karthik Rangappa* says:
  [July 23, 2023 at 9:03 am]

  These will be overnight positions, Jeesu and not intraday.

  [Reply]

31. *Jeesu Nandy* says:
[July 18, 2023 at 11:08 am]

Sir , just a off topic question

suppose i buy 50 share of banknifty at 45400 and in 3:20 it reach 45450 after after that day the market open on 45500 , so would i make a profit of 50 points when the market closed on 45450 and in next day the market open on 45500

[Reply]

- *Karthik Rangappa* says:
  [July 19, 2023 at 9:55 am]

  Yes, thats right.

  [Reply]

32. *Jeesu Nandy* says:

[July 16, 2023 at 2:38 am]

Hello Sir ,

Can you suggest me some article/blog/youtube video of how to read the CPI/IIP/PMI chart provided by MOSPI

[Reply]

-  *Karthik Rangappa* says:
  [July 16, 2023 at 11:22 am]

  Do check https://tradingeconomics.com/ they may have some.

  [Reply]

33.  *Rahul* says:
[June 23, 2023 at 8:55 am]

Kartik sir,
Why do every news channels discuss regarding the global market index like Dow Jones , Hangsang, Nasdaq, for the direction of the Indian stock market. Why Indian market also falls when the global market indices are in red?

[Reply]

-  *Karthik Rangappa* says:
  [June 23, 2023 at 10:14 am]

  Because all markets and economies are connected. What happens in 1 country impacts the other 🙂

  [Reply]

34.  *Chaitanya J* says:
[May 2, 2023 at 10:10 am]

Dear Karthik sir, This is a reply to our previous conversation. I am not able to reply directly to your comment. So, I have copy-pasted our previous conversation below(enclosed between 2 dotted lines)

Chaitanya says:
April 19, 2023 at 6:49 am
Dear Sir, I am assuming that correction is needed in the below-mentioned sentence in this chapter.

Current Sentence:
`In a nutshell – if the interest rates are high, the borrowing rates are high`

Expected Change:
`In a nutshell – if the interest rates are high, the borrowing rates are low`

Reply
Karthik Rangappa says:
April 19, 2023 at 9:55 am
The current sentence is right, dont you think so?

New reply:- If the interest rates are high. Corporate entities wouldn\'t come forward to take loans and so the borrowing rates will be low. Isn\'t this correct, sir?

Reply

-  *Karthik Rangappa* says:
  May 2, 2023 at 11:32 am

  Its a cycle, RBI will have to balance growth, inflation, and the economy. May not always work in the same sequence. Check this – https://www.youtube.com/watch?v=Qx3YMdcLTZo

  Reply

35.  *Kishore* says:
May 2, 2023 at 9:40 am

Hi karthik , you have done an excellent job in making contents like these especially for beginners like me. I can see updates in the content like the events of ukraine war which happened very recently. But if i read this content now and then in following years this information gets updated, as a user will i get notified? Because I can see these contents are free but does not link to any of the personal account like an email of the user who consumes this. So i dont see a way of communication when an update takes place and as a user who like to stay updated misses out on such information. Just a thought 🙂

Reply

-  *Karthik Rangappa* says:
  May 2, 2023 at 11:29 am

  That may not be possible, Kishore. We keep updating as and when we spot issues, and this could even be correcting spelling 🙂

  An email notification may get very annoying. Btw, thanks for the kind words 🙂

  Reply

36.  *Chaitanya* says:
April 19, 2023 at 9:13 am

Dear Karthik, I am proposing a small correction to a sentence in this chapter.

Current Sentence:
`For example, the European Central bank in Europe Federal Reserves in the US.`

Corrected Sentence:
1. `For example, the European Central bank in Europe, Federal Reserves in the US.`
2. `For example, the European Central bank in Europe and Federal Reserves in the US.`

ps: Added comma in corrected sentence 1 & added `and` in corrected sentence 2.

Reply

-  *Karthik Rangappa* says:
  April 19, 2023 at 10:07 am

  Thanks for all the help in spotting this, will fix it 🙂

  Reply

37.  *Chaitanya* says:
April 19, 2023 at 6:49 am

Dear Sir, I am assuming that correction is needed in the below-mentioned sentence in this chapter.

Current Sentence:
`In a nutshell – if the interest rates are high, the borrowing rates are high`

Expected Change:
`In a nutshell – if the interest rates are high, the borrowing rates are low`

Reply

- *Karthik Rangappa* says:
  April 19, 2023 at 9:55 am

  The current sentence is right, dont you think so?

  Reply

38. *Sathish* says:
April 2, 2023 at 10:45 am

I already posted a question regarding personal consumption expenditures index but couldn\'t get a reply. Tried googling it but was only able to understand what it is about and nothing from its value perspective. I only want to know whether high PCE index number is good or bad for the economy. Could you help me with this query?

Reply

- *Karthik Rangappa* says:
  April 3, 2023 at 10:05 am

  I\'ve never used that indicator myself, Sathish. Need to figure out myself before I share an opinion.

  Reply

39. *Astikar Swapnil* says:
January 15, 2023 at 9:19 pm

recently, I was reading a book called\"Intelligent investor\", their I, heard about RETS and TIPS, Is there any Chapter where I can explore more about this topic?

Reply

- *Karthik Rangappa* says:
  January 16, 2023 at 8:18 am

  Nope, we dont have that in Varsity. Also, these instruments are in US only.

  Reply

40. *Pavani* says:
December 2, 2022 at 10:43 am

Apart from all the mentioned above ,how on the earth does fed meetings with effect indian markets??

Reply

- *Karthik Rangappa* says:
  December 4, 2022 at 8:34 am

Fed actions affect not only the Indian market but the world markets at large. A rate hike in the US means higher yields on bills and Govt bonds, so investors prefer to invest in safer, higher-yielding assets than risky ones. So fund flows to India and other countries reduce. This is apart from all the -ve sentiments in the market.

Reply

41. *Hardik Lakhanpal* says:
November 29, 2022 at 10:44 pm

Sir one more important tool of monetary policy is the statutory liquidity ratio(SLR) where banks are required to maintain a certain percentage of deposits with themselves. When SLR increases the supply of money too is tightened in the economy.

Reply

- *Karthik Rangappa* says:
November 30, 2022 at 6:53 am

True, I will try and add this in the chapter.

Reply

42. *Saurabh Singh* says:
November 25, 2022 at 9:14 pm

ok, so the participants are putting more emphasis on the market rather than on inflation.

Reply

- *Karthik Rangappa* says:
November 26, 2022 at 10:30 am

Yeah, market kind of factors that it.

Reply

43. *Saurabh Singh* says:
November 24, 2022 at 9:30 pm

Hey Karthik, absolutely fantastic experience learning it so far just because you made it so simple
I got a doubt, when the index increase then the inflation also increase and vice versa
Index indicates that the market is performing well but the inflation also tends to increase
So my question is how we gonna decide the the economy is booming ?

Reply

- *Karthik Rangappa* says:
November 25, 2022 at 9:36 am

Thanks, Saurabh. When you look at the economy, there are several moving parts to it. Add to this, the market perception, then the entire thing takes a funny turn. So inflation maybe up, which is bad for the economy. RBI may increase the rates too…but if the market participants already factor this, then markets look beyond inflation and continue to move up 🙂

Reply

44. *Jyotiprasad Kumbhar* says:
November 13, 2022 at 3:48 pm

Karthik Sir, where could we find the \"Street expectation\" figures to match up with the actual company earnings

Reply

- *Karthik Rangappa* says:
  August 30, 2022 at 8:55 am

  You can look up any company\'s analyst reports for street expectation. Independent research firms and a few broking houses publish these reports.

  Reply

45. *bhuvan* says:
August 29, 2022 at 4:07 pm

Hello sir,
1. Sir, whenever people refers to interest rates prevailing in the country, so are they talking about repo rate?
2. When RBI increases the repo rate, does it have any impact on the interest rates that we receive on our fixed deposits?
3. may I know who set\'s the reverse repo rate, RBI or banks?
Thank you and have a good day sir.

Reply

- *Karthik Rangappa* says:
  August 30, 2022 at 9:55 am

  1) Yes, the repo rates set by RBI or the central bank of the country
  2) Eventually it does get passed on to FD rates
  3) Its Reserve Bank of India (India) and the Federal Bank in US

  Reply

46. *pankaj prajapati* says:
August 14, 2022 at 12:25 am

Dear Karthik Rangappa sir
i just want to tell you that if a company announces its quarterly result let us take infosys as an example i am of the point of view that the news which may be positive or negative aren\'t we the last one who is receiving that news and is it possible that the movement is already happened in the market.

Reply

- *Karthik Rangappa* says:
  August 14, 2022 at 9:19 am

  Yeah, news by the time it gets to you will be delayed. But if you are interested, you can develop financial models to predict the results and develop your assessment of results.

  Reply

47. *Dwipayan Halder* says:
August 3, 2022 at 5:45 pm

Hello sir
Can a company increase its face value? Suppose from 5 rupees to 10 rupees.

Reply

- *Karthik Rangappa* says:
  August 4, 2022 at 10:13 am

  Yes, that is possible.

  Reply

48. *Radhakrishnan* says:
June 28, 2022 at 1:13 pm

Zerodha Can add notification/ kind of alert for every event before it happens .. so we can close or reduce our position size

Reply

- *Karthik Rangappa* says:
  June 29, 2022 at 11:30 am

  We do highlight in the market watch. Check this – https://support.zerodha.com/category/trading-and-markets/kite-web-and-mobile/kite-mw/articles/event-tag-on-marketwatch-holding

  Reply

49. *Gopal* says:
May 26, 2022 at 11:17 pm

A lower IIP number puts pressure on the RBI to lower the interest rates!!
Plz explain this.
And if IIP increase IS GOOD FOR ECONOMY ?

Reply

- *Karthik Rangappa* says:
  May 27, 2022 at 8:43 am

  If IIP is low, that means industrial activity is low. One way to boost the economy (industrial activity) is by lowering the interest rate and increasing the supply of money in the economy.

  Reply

50. *Sridhar Chandramouli* says:
May 19, 2022 at 4:27 pm

Sir,

In the United States, labour and employment figures are also collected, I read somewhere. Is there a similar system in india?

Reply

- *Karthik Rangappa* says:
  May 20, 2022 at 11:06 am

  YOu need to check the HRD ministry site for data. Maybe here as well – https://www.mospi.gov.in/

  Reply

51. *Dhananjay* says:
[March 17, 2022 at 8:15 pm]

It means they also have told that they are going to increase rates in coming meetings as well. This is already known information. As long as everything remains same without sudden surprises market will react just normally in future as well?

Reply

52. *Dhananjay* says:
March 17, 2022 at 12:04 pm

How much importance should we give to FED announcements?

and one more thing, yesterday, FED raised interest rates by 25 bps but still markets are reacting positive to that. How will you justify this?

Reply

   - *Karthik Rangappa* says:
     March 17, 2022 at 8:11 pm

     Its generally important. But most of these hikes are factored in all the time, unless it all of a sudden without anyone expecting, which is unlikely these days 🙂

     Reply

53. *Monica* says:
March 17, 2022 at 9:39 am

Which are the important days we would look at for high market fluctuations
like Bank nifty – all Thursdays
last Thursday of the month for F&O
could you provide me a list

Reply

   - *Karthik Rangappa* says:
     March 17, 2022 at 11:14 am

     Expiry is an important day. Otherwise, all the days that which has events will matter.

     Reply

54. *RK Nivethan* says:
February 19, 2022 at 3:27 pm

Sir, it would be great if you can update the RATES given above since it is quite old, is it possible to fix it sir?

Reply

   - *Karthik Rangappa* says:
     February 20, 2022 at 7:50 am

     The idea is to get an idea about how to go about these events and get an idea. Not really to keep track of the latest rates 🙂

Reply

55. *Vikas* says:
January 16, 2022 at 12:22 pm

Nifty and banknifty moves in same direction

Reply

- *Karthik Rangappa* says:
  January 16, 2022 at 5:04 pm

  Nope, not always.

  Reply

56. *Surya* says:
November 22, 2021 at 5:43 pm

Sir any update on the matter.

Reply

57. *Surya* says:
November 21, 2021 at 5:17 pm

Sir, I am using the Zerodha Varsity app for studying these concepts. I have one query though the certificate which I get after giving the quiz can I add the same to me Linkedin profile and where do I find the credential id for the same??

Reply

- *Karthik Rangappa* says:
  November 22, 2021 at 10:50 am

  Surya, making a note of this. Will check.

  Reply

58. *Pushkar Khare* says:
November 17, 2021 at 10:55 am

I\’m not from finance background and don\’t know much about Stock market but I usually make money looking at historical trend (0-3 years) and investing in good brands in equity market.

What can cause loss to me, which has never been so far though.

Reply

- *Karthik Rangappa* says:
  November 17, 2021 at 9:23 pm

  Bad luck 🙂

  Reply

59. *Rohan Sharma* says:
November 13, 2021 at 8:45 pm

Hlo sir ye hindi m translate mil skti hai?

Reply

60. *Utkarsh Sharma* says:
November 5, 2021 at 8:08 pm

I am loving this. Thanks!

Reply

- *Karthik Rangappa* says:
November 5, 2021 at 10:04 pm

Happy learning, Utkarsh!

Reply

61. *Gautam Bhatti* says:
October 21, 2021 at 10:02 am

How do you calculate street expectation ? Is there any index or how else do you know about it.

P.S. Thank you for all this knowledge

Reply

- *Karthik Rangappa* says:
October 21, 2021 at 10:59 am

For street expectations, you generally have to follow the stock and the news around it. You will get a sense of what the street expects.

Reply

62. *Sujit* says:
October 17, 2021 at 1:30 pm

Thank you karthik

Reply

63. *Sujit* says:
October 14, 2021 at 12:29 pm

With increased spending how will the price of a commodity go up ie how will it lead to inflation with increased spending

Reply

- *Karthik Rangappa* says:
October 14, 2021 at 7:48 pm

Demand increases and the price tends to go up, leading to inflation.

Reply

64. *sakthi vel* says:
October 11, 2021 at 11:45 am

nice explaination sir

Reply

65. *Barath* says:
September 8, 2021 at 3:52 pm

For instance, a company\'s quarter results are expected to be negative than previous one… The promoter obviously knows about his company has made a huge losses in revenue, so he decides to sell his few shares in CMP (profit booking) before the company announces its results… Can this happen, and is it fair ??

Reply

- *Karthik Rangappa* says:
  September 8, 2021 at 9:51 pm

  Yup, it is not allowed by the exchanges as it is considered insider trading.

  Reply

66. *Ashwin R S* says:
September 6, 2021 at 12:04 am

What is the Current Repo Rate charged by the RBI ?

Reply

- *Karthik Rangappa* says:
  September 6, 2021 at 8:42 am

  Its 4:00% (repo) and 3:35% (rev repo). You can check here – https://www.rbi.org.in/

  Reply

67. *Chetan Ghorpade* says:
August 18, 2021 at 4:42 pm

Hi sir
I am very glad to say thanks for this learning instrument which made me to know and understand the stock Market very well.
1)where we can get the street expectations of quarterly results?
2) Is there any particular site or link is available?
3)where we can get the News related to stock Market?? Whenever I get the News I have been a way far late for news (like getting the train ticket after the departure of missed train)??

So please help me sir ☺️🙏…

Reply

- *Karthik Rangappa* says:
  August 18, 2021 at 8:57 pm

  Chetan,

  1) You will have to keep an eye out on news and analysts coverage for this, you will get a sense of what the street expects
  2) Not sure
  3) Check this – https://pulse.zerodha.com/

Reply

68. *Zega* says:
August 12, 2021 at 12:46 am

If reverse repo rate is increased, then the amount of money that rbi will borrow will decrease. Thus more money remains in liquid/market.
Why is it written then, \"An increase in reverse repo rate is not great for the economy as it tightens the supply of money.\"

Reply

69. *Sada* says:
August 3, 2021 at 1:45 pm

Namaste Karthik

Thanks for sharing your tremendous knowledge with all of us.

The way you explain is very simple and easy to understand and helps people with non finance backgrounds like us.

Thanks.

Reply

- *Karthik Rangappa* says:
  August 3, 2021 at 7:16 pm

  Namaste, Sada. Thanks for the kind words, hope you continue to enjoy learning on Varsity 🙂

  Reply

70. *Pratika Chordiya* says:
August 2, 2021 at 4:25 pm

I am so impressed with the entire content of the chapters i have read till now.
I wish i had known earlier 🙂
Thanks Karthik for the amazing lessons!

Reply

- *Karthik Rangappa* says:
  August 2, 2021 at 7:11 pm

  Never too late to start, happy learing, Pratika 🙂

  Reply

71. *Vaibhav Shelar* says:
July 25, 2021 at 7:32 pm

Which economic data release affect the particular sector of stock market? How can we interpret this economic data?

Reply

- *Karthik Rangappa* says:
  July 26, 2021 at 10:45 am

Different sectors have different data points that matter. But in general, things like interest rate policy will have an impact on all the sectors.

Reply

72. *JAGANNATH PRADHAN* says:
July 25, 2021 at 11:36 am

What will impact on share price after increase in dearness allowance of employees

Reply

- *Karthik Rangappa* says:
  July 25, 2021 at 6:52 pm

  It has no impact on stock prices.

  Reply

73. *Don Joseph* says:
July 5, 2021 at 11:04 am

Good work Karthik!
I completed the first 4 modules on Varsity (app)…

I know, I still have miles to walk before I can sleep!
Hope I can meet you in person one day just to give you a handshake

Reply

- *Karthik Rangappa* says:
  July 5, 2021 at 8:59 pm

  I\'d love to shake hands with you, Don!
  Happy reading 🙂

  Reply

74. *Abhigya Kushwah* says:
June 24, 2021 at 4:24 pm

Dear Karthik,
Here, I have two queries:
1. How do we know what is the street expectation? OR What is the method of calculation of street calculation?
2. In every quarter, after Q1, the data of previous quarter is also included or is independent of it? I mean, when the Company publishes the Q2 results, then does is include the data of Q1 also or is only for Q2 separately? Same query for Q3 and Q4.
3. Is Q4 and Annual Report the same? In other words, is the Q4 report published as a Annual Report?

Reply

- *Karthik Rangappa* says:
  June 24, 2021 at 7:56 pm

  1) You keep track of news, you will know what the street is expecting
  2) Companies usually do for comparison purpose
  3) It will be separate, but in most cases released at the same time.

Reply

75. *investing wolf* says:
June 23, 2021 at 6:28 pm

Repo rate is approx 4% ……….then why 8% is mentioned?

Reply

- *Karthik Rangappa* says:
  June 23, 2021 at 8:07 pm

  Rates keep changing, it was 8% when we wrote this.

  Reply

76. *Khaim* says:
June 19, 2021 at 10:55 pm

Like US fed events (similar to our RBI events), what other ones ?

Reply

77. *Khaim* says:
June 19, 2021 at 3:34 pm

Hello Sir,

What about world events that affect us?

Could you speak about them also?

Reply

- *Karthik Rangappa* says:
  June 19, 2021 at 6:59 pm

  There are so many of them 🙂

  Reply

78. *Srijesh* says:
June 8, 2021 at 4:19 pm

Hello Sir,

How does one identify the street expectations for results?

Reply

- *Karthik Rangappa* says:
  June 8, 2021 at 7:30 pm

  You can build a model around it. We have started a new module to discuss this topic – https://zerodha.com/varsity/module/financial-modelling/

  Reply

79. *prasanth* says:
June 7, 2021 at 2:02 pm

nice

Reply

80. *Priyanka Jadhav* says:
April 27, 2021 at 4:31 pm

Understood

Reply

81. *Samrath* says:
April 9, 2021 at 6:00 pm

Sir , please recommend me a book for amateur long term investors to understand how to get 20 percent or more cagr in the next 20 to 40 years

Reply

- *Karthik Rangappa* says:
April 10, 2021 at 1:01 pm

20% is quite a bit, the only thing that will help you is consistent practice and sticking to basics.

Reply

82. *kanakeswaran* says:
February 19, 2021 at 7:30 am

Can somebody please say, How to track live government decisions that affect market movements. Which website to look into?

Reply

- *Karthik Rangappa* says:
February 19, 2021 at 3:50 pm

All public information is given out to all new agencies at the same time. So there is no real edge here.

Reply

83. *Saksham* says:
February 17, 2021 at 4:50 pm

Sir this is how you defined CRR
\"Cash reserve ratio (CRR) – Every bank is mandatorily required to maintain funds with RBI. The amount that they maintain is dependent on the CRR. \"
Then you said this
\"If CRR increases, then more money is removed from the system, which is not good for the economy.\"
But i have confusion if CRR increases doesn\'t that mean more funds are maintained with the RBI, then how is that bad for the economy??

Reply

- *Karthik Rangappa* says:
February 17, 2021 at 9:10 pm

That also means more money stuck and not being put to use right?

Reply

84. *Debarchan* says:
February 5, 2021 at 8:27 pm

In your example you mentioned that repo rate is 8% and reverse repo rate is 7%. Then why banks will give loan to RBI ?

Reply

 - *Karthik Rangappa* says:
 February 6, 2021 at 11:29 am

 What will they do if they have excess money?

 Reply

85. *Anukul Rawat* says:
January 17, 2021 at 11:17 am

at current repo rate has come down to 4

Reply

86. *Nasir ahemmad khan* says:
November 18, 2020 at 7:15 am

Sir thanks,you give us so many data and knowledge, thanks for your help and advice,sir I want to know a secure income from options trading , will you advice me, thanks again for your help

Reply

 - *Karthik Rangappa* says:
 November 18, 2020 at 9:27 am

 Markets are inherently risky, so there is no question of secure income 🙂

 Reply

87. *MURUGANANTHAM* says:
November 15, 2020 at 10:58 am

Sir,
In today\'s scenario, the lending rate decreasing, purchasing power decreasing, but Inflation increasing. Why? Kindly explain.

Reply

 - *Karthik Rangappa* says:
 November 16, 2020 at 7:45 am

 This is how it is, rates lower, more money in the hands of investors leading to higher inflation.

 Reply

88. *Prasoon Dimri* says:
November 1, 2020 at 1:58 am

Very well predicted the ITC share future. 6 years have passed by and ITC is trading at its lowest all thanks to the increased taxes & duties on cigarettes

Reply

- *Karthik Rangappa* says:
  November 1, 2020 at 6:48 pm

  True.

  Reply

89. *Rana Ghosh* says:
October 22, 2020 at 8:48 am

There have been instances where the stock price decrease heavily when the quarterly results of a particular company is announced and the company has performed quite good. Is it the reverse psychology where the retail investors wants to buy but the big players sell off their shares?

Reply

- *Karthik Rangappa* says:
  October 22, 2020 at 9:58 am

  Current results could be good, but it also depends on future guidance from the management. After all, stock markets are forward-looking.

  Reply

90. *Manoj* says:
October 16, 2020 at 7:49 pm

Where can I track these Indexes or register for the announcements?

Reply

- *Karthik Rangappa* says:
  October 17, 2020 at 9:53 am

  YOu will have to track the news closely for this.

  Reply

91. *Sai Sruthi* says:
October 3, 2020 at 5:20 pm

I\’m saying/asking that reverse repo and the devp of the company/market are inversely proportionate please comment
Thanks a ton for the effort and time you\’ve spent to deliver these phenomenal modules

Reply

- *Karthik Rangappa* says:
  October 3, 2020 at 7:27 pm

  Not really, as I mentioned, it is dependent on the underlying economy.

  Reply

92. *Sai Sruthi* says:
[October 3, 2020 at 5:17 pm]

Hi Sir,
u have mentioned that higher the reverse repo rate lowers the cash flow in the system
but why would RBI borrow money if the rates are high?
and if they dont borrow money (due to high r-r rates) doesn\'t it mean there\'s more money available for the rest of us and eventually corporates and the general public could use it for development right ?

Reply

- *Karthik Rangappa* says:
  October 3, 2020 at 7:24 pm

  The interest rate is a function of how the economy performs right? RBI cannot change the rates without any underlying reasoning.

  Reply

93. *kushang solanki* says:
October 1, 2020 at 12:40 pm

where can we find all this information of a prticular stock in NSE?

Reply

- *Karthik Rangappa* says:
  October 1, 2020 at 10:21 pm

  If there is any corporate event, then that will show up as \'Event\' next to the scrip name in Kite.

  Reply

94. *SANJAY MEHTA* says:
September 27, 2020 at 12:21 am

Sir is there a free site from where we could find 'street expectation'. for a Company/ Stock?

Regards

Sanjay

Reply

- *Karthik Rangappa* says:
  September 27, 2020 at 9:32 am

  Not sure, Sanjay. Long back Moneycontrol would provide that, I\'m not sure if it still exists.

  Reply

95. *Ajay* says:
September 13, 2020 at 9:34 am

\"Wholesale Price Index (WPI) – The WPI indicates the movement in prices at the wholesale level. It captures the price increase or decreases when they are sold between organizations as opposed to actual consumers.\"
What is \'they\' in above sentence ?

Reply

- *Karthik Rangappa* says:
  September 13, 2020 at 10:54 am

  They = goods.

  Reply

96. *roopam* says:
September 6, 2020 at 6:16 pm

thank you sir for this great knowledge. Love you 3000 sir ji
sir regarding this article I have certain queries-
1- why is IIP for a particular month updated 6 weeks later by MOSPI ?
2- Where do we and how do we check PMI?
I did some research and came across ihsmarkit but I couldn\'t get the knowledge of PMI over there
thank you😊

Reply

- *Karthik Rangappa* says:
  September 6, 2020 at 10:31 pm

  Thanks for the kind words, Roopam 🙂

  1) It used to be latest, on monthly basis, not sure if things have changed, its unlikely though.
  2) Trading Economics is usually a good place for such data –
  https://tradingeconomics.com/india/manufacturing-pmi

  I\'m not sure about the source that you\'ve mentioned. But of its good, no harm using it. Good luck!

  Reply

97. *Shashank Pendyala* says:
August 22, 2020 at 11:11 pm

Hi,
1. I understand banks can borrow money from RBI and repo rate is applicable, but apart from banks any other entity can borrow from RBI?
2. Same as above, apart from banks can any other entity lend money to RBI and get the reverse repo rate interest out of it?
3. Out of curiosity, does RBI have money all the time? or they get it when needed via creating money / bonds?
4. Regarding CPI, it is the change taking previous month as the baseline? or has a fixed baseline like IIP. If the change is based on previous month value then always the inflation is increasing right, whenever I see news it is always a positive change never negative. That means currency value is decreasing?

Reply

- *Karthik Rangappa* says:
  August 23, 2020 at 8:57 am

  1) Banks and the Govt can borrow from RBI
  2) When you buy GSEC bonds, you essentially lend to RBI
  3) Yes for both 🙂
  4) I\'m not sure about this, need to read up on CPI guideline again 🙂

Reply

98. *Saravana Ub* says:
August 12, 2020 at 5:02 am

Sir,

I am back testing a trend following system from 2008 sir. Only in Nifty. By buying options.

I am planning to square off before RBI day and and take trade after the RBI announcement.

Should I take any other into consideration as well sir? I\'m asking for only trading nifty.

Reply

   - *Karthik Rangappa* says:
     August 12, 2020 at 10:48 am

     Is this strategy specific to monetary policy activity? If yes, then this is good enough.

     Reply

99. *Tanay Agarwal* says:
July 28, 2020 at 11:53 pm

I spend more time reading the comments when compared to the content. As all my doubts are answered by you here. The comments section is so extensive and INFORMATIVE!!!! cheers to you Karthik!

Reply

   - *Karthik Rangappa* says:
     July 29, 2020 at 10:27 am

     Yes, overtime the comment section has turned out to be gold with tons of information! Happy reading!

     Reply

100. *RAKESH* says:
July 3, 2020 at 1:26 pm

low-interest rate tends to increase inflation and a high-interest rate tends to arrest inflation.
Need a Clarification in the Above Statement

Reply

   - *Karthik Rangappa* says:
     July 3, 2020 at 5:51 pm

     The low-interest-rate increases the supply of money, hence easy access to money driving the costs higher. This leads to inflation.

     Reply

101. *Sadvik gowda* says:
June 28, 2020 at 7:16 pm

Sir, 1) Among all of above points which one impact more strongly over market ?
2) where to check these news in advance ?

Reply

- *Karthik Rangappa* says:
  June 28, 2020 at 8:03 pm

  1) They all have different importance Sadvik. Hard to isolate events.
  2) News portals, that is the only portal for all of us.

  Reply

102. *Asif* says:
May 30, 2020 at 8:53 pm

Sir can u give a easy example for PMI??

Reply

- *Karthik Rangappa* says:
  May 31, 2020 at 10:45 am

  Check this – https://tradingeconomics.com/india/manufacturing-pmi

  Reply

103. *ishan* says:
May 18, 2020 at 8:33 pm

why would rbi borrow money from banks and also how will it benefit banks to lend money to rbi instead to a corporate entity?

Reply

- *Karthik Rangappa* says:
  May 18, 2020 at 9:31 pm

  RBI does not borrow, it mandates bank to park money. This is how it regulates the money supply in the economy.

  Reply

104. *Umesh Rajawat* says:
April 10, 2020 at 3:03 pm

Hello Karthik

In presenting IIP (Index of Industrial Production) does MNC\'s (foreign companies) established in india are they included in IIP??
Thanks .

Reply

- *Karthik Rangappa* says:
  April 10, 2020 at 4:58 pm

  I guess they would be, Umesh. Can\'t think of a reason why they would be excluded.

  Reply

105. *Rishikesh* says:

March 30, 2020 at 2:25 pm

Hello Karthik,

Thanks for the clarification. As the article mentions, it says there are risks involved in BTST. Will you please tell me what risks involved and how BTST trade will be charged?

Reply

- *Karthik Rangappa* says:
  March 31, 2020 at 11:39 am

  Check this – https://zerodha.com/z-connect/queries/stock-and-fo-queries/btstatst-buyacquire-today-sell-tomorrow

  Reply

106. *Rishikesh* says:
March 28, 2020 at 1:25 pm

Hello sir could you explain more to me if I buy a share of \"x\" company at delivery condition and sell a share of same company on same day which was in position and not in holding. Is there any think wrong in this transaction if yes then please explain in details

Reply

- *Karthik Rangappa* says:
  March 29, 2020 at 10:38 am

  No, nothing wrong with it. The trade is considered as an intraday trade and hence will be charged intraday brokerage.

  Reply

107. *Janesh* says:
March 2, 2020 at 4:09 pm

Let me explain with an example.
The Gitanjali Gems is wiped out due to Neerav modi case. The stock was started falling. Obeviously no one is interseted to buying here, So my question is who is buying here ?? Why stock price goes down when there is no buyer..

Reply

- *Karthik Rangappa* says:
  March 3, 2020 at 11:37 am

  People speculate they buy with an expectation that the price will go up. Remember, the different opinions is what makes a market.

  Reply

108. *Janesh* says:
March 1, 2020 at 4:41 pm

Hello Karthik,
As of Today 1 March 2020. NSE: RELIANCE price is 1,327.00 INR −59.25 (-4.27%) due to coronavirus market is down,

A -4.27% change means a big FII player has withdrawn money(sell) from Reliance.

Buy Sell happens when one is selling @100 & another is Buying @100.

QW. -> who is buyer here ? Because The Big Player FII is only selling..

P.S. We know Retail investor can not effect even 1% in market.

Thanks.
Hope this questions helps everyone.:)

Reply

-  *Karthik Rangappa* says:
  March 2, 2020 at 8:08 am

  Janesh, 1 retail participant cannot influence the market (whereas 1 FII can), but when large number of retail traders either buy or sell, then the price of the share does get influenced.

  Reply

109.  *Palak* says:
November 17, 2019 at 11:06 am

Thankyou 🙂

Reply

110.  *palak* says:
November 15, 2019 at 12:46 pm

Hello sir,

I want to know that how can we know about upcoming government meetings before a week so that we can make position accordingly.
Like total news that impact the market for the upcoming week ?
Thanks

Reply

-  *Karthik Rangappa* says:
  November 16, 2019 at 12:03 pm

  For this, you will have to keep track of articles and news reports and track it. No other options.

  Reply

111.  *Raja* says:
October 28, 2019 at 7:53 pm

OK..Thank You…

Reply

112.  *Raja* says:
October 26, 2019 at 12:57 pm

Dear Karthik,
Greetings!!

Could you please tell me a good book on Python learning for Algo Trading Or a good book on Algo Trading, or online study materials. Thanks.

Raja..

Reply

- *Karthik Rangappa* says:
  October 27, 2019 at 10:13 am

  Raja, I\'m not sure about that. I\'ll check and let you know.

  Reply

113. *Sachin Singh* says:
September 11, 2019 at 1:08 pm

Hey Karthik, tomorrow the IIP & CPI data is coming out. Can you please let me know around what time do these type of data generally get announced? And are they announced at the NSE site or someplace else?
Thanks!

Reply

- *Karthik Rangappa* says:
  September 12, 2019 at 11:13 am

  Unlike US, there is no set time for this, Sachin. But if I were to guess, this will be around 2 PM.

  Reply

114. *Ishit* says:
July 9, 2019 at 9:14 am

Explain how increase in reverse repo rate is bad for market?
As higher the reverse repo rate the less likely RBI is to borrow money from banks, hence leaving more for corporations?

Reply

- *Karthik Rangappa* says:
  July 9, 2019 at 11:28 am

  Do check this Ishit – https://cleartax.in/s/repo-rate#how

  Reply

115. *Ashwani* says:
July 6, 2019 at 10:41 am

sir
how many days after ex date will take to get the dividents in account (generally).

Reply

- *Karthik Rangappa* says:
  July 6, 2019 at 1:28 pm

  Usually with 5 days.

Reply

116. *Sumit* says:
May 28, 2019 at 1:46 pm

Sir how do I get the PMI data and what is the frequency of the report?

Reply

117. *Ashwani Kumar Rai* says:
March 23, 2019 at 9:43 am

sir
How we can check
for a stock how many times a stock split had occured in history .

Reply

   - *Karthik Rangappa* says:
     March 23, 2019 at 10:04 am

     I think moneycontrol has a link using which you can check the corporate action history.

     Reply

118. *Anulekh* says:
November 15, 2018 at 7:52 pm

Is Repo Rate the most important outcome of rbi monetary policy which is monitored by market

Reply

   - *Karthik Rangappa* says:
     November 16, 2018 at 11:05 am

     Yes, Repo and reverse repo are the most important policy rates to watch out for.

     Reply

119. *Vivek singh* says:
October 2, 2018 at 11:45 pm

Karthik sir.,i am a beginner. U have written in such a lucid and easy to grasp form unlike other contents online… Thank u so much…prior to this I don\'t know even a single topic of stock market and indices… Now I am learning a lot… It\'s cool…

Reply

   - *Karthik Rangappa* says:
     October 3, 2018 at 12:29 pm

     Happy learning, Vivek 🙂

     Reply

120. *ganesh natarajan* says:
July 14, 2018 at 1:32 am

I could see the quarterly resume is more than estimation and less than market estimation. Where I can find the estimation/expectation ?

Reply

- ganesh natarajan says:
  July 14, 2018 at 1:37 am

  *quarterly profit result

  Reply

- Karthik Rangappa says:
  July 14, 2018 at 11:40 am

  Usually, third-party sources like Bloomberg and Reuters give out estimates. Check moneycontol, they do broker polls as well.

  Reply

121. *Rabindra* says:
July 7, 2018 at 3:30 pm

Hello Kartik,
Other economic factors that have significant impacts on any stock market would be: money supply, trade deficit, FII, crude price and gold price. Could you dwell on these topics from the indian PoV while updating this page. would love to know how exactly they affect the indian market.
Thanks.

Reply

- *Karthik Rangappa* says:
  July 8, 2018 at 12:41 pm

  of course, these factors matter too. I\'ve just tried to summaries a handful of events with maximum impact. Will try and include these events as well 🙂

  Reply

122. *Mangesh Baxi* says:
June 18, 2018 at 1:31 pm

Is PMI a subjective index or it is determined by quantified parameters ? If then how do they assure its accuracy & remove bias(if any)?

Reply

- *Karthik Rangappa* says:
  June 19, 2018 at 11:15 am

  The nature of the index is to capture the opinion of the purchasing managers, Mangesh. So there is bound to be some amount of bias here.

  Reply

123. *Siddharth* says:
May 10, 2018 at 4:37 am

Sir,
is there a way to know which companies have contributed via data to PMI or IIP sector index ?
Since Indian economy has major share Unincorporated companies

Reply

- *Karthik Rangappa* says:
  May 10, 2018 at 12:28 pm

  You will get the details here – http://mospi.nic.in/iip#about_id

  Reply

  - *Siddharth* says:
    May 12, 2018 at 9:51 am

    Can u keep an email alert once the question is answered and when module of updated or added new chapters.
    Just difficult to keep track of it.
    Thanks

    Reply

    - *Karthik Rangappa* says:
      May 13, 2018 at 11:29 am

      That may just spam too many people, comments run up to few 100s 🙂

      Reply

124. *Aashish Rana* says:
February 28, 2018 at 11:52 am

Sir
How do I check the charts of CPI,WPI. Though I checked on mospi, I can found only PDF and it is very difficult to extract information from there. And please do tell me about CRR,Repo rate,Reserve Repo rate charts too.

Reply

125. *arvind* says:
February 9, 2018 at 6:51 pm

Karthik Sir

how do stock prices of fundamentally sound companies (eg. tcs , reliance , hul etc) react during a market crash (eg. 2008) ? do they crash/fall very fast too like rest of market (say for example 20 % on a single day) or correct slowly over a longer period of time (eg. 2-3 % in a day) ?

what are other things that happen only during crash ?

thanks 🙂

Reply

- *Karthik Rangappa* says:
  February 10, 2018 at 7:04 pm

When the market falls, all stocks tend to fall, irrespective of the quality. However, the difference is that the quality stocks, tend to bounce back much quicker than the rest.

Reply

- *arvind* says:
  February 11, 2018 at 10:00 am

  so it plays out something like the past week . i thought much worse & crazier than now.

  Reply

  - *Karthik Rangappa* says:
    February 12, 2018 at 10:54 am

    We will have to wait and watch!

    Reply

126. *Vidyadhar Belvalkar* says:
January 27, 2018 at 8:18 pm

how to identify whether a particular speculative announcement is already discounted or not in the price of index/stock before such announcement is made.e.g reduction in RR, RRR etc

Reply

- *Karthik Rangappa* says:
  January 28, 2018 at 7:47 pm

  Usually, you can observe a rapid increase/decrease in price leading to the event/news – this is indicative of the price discounting the news.

  Reply

127. *abhishek kumar sah* says:
November 17, 2017 at 12:41 pm

Is there anything i should keep in our mind or anything i should be cautious about if lets say i hold a futures contract and there is a stock split announced?

Reply

- *Karthik Rangappa* says:
  November 18, 2017 at 11:01 am

  Nothing really.

  Reply

128. *abhishek kumar sah* says:
November 16, 2017 at 3:03 pm

same is the case with reliance. there is a big gap in the futures chart but the spot chart does not show any gap.(date-9-6-2017)

Also the spot price is some how adjusted.
Please explain?

Reply

- *Karthik Rangappa* says:
  [November 17, 2017 at 12:02 pm]

  Ah, are you looking at the continuous charts? If not, click on the continuous option in the chart \'Display\' menu.

  Reply

  - *abhishek kumar sah* says:
    [November 17, 2017 at 12:34 pm]

    Yes i am looking at the continuous data chart for the Reliance nov fut. On (6-9-2017) the price is around Rs 1600 but on the next day(7-9-2017) the price is near Rs 800(displaying a big gap). And this(futures) chart is not adjusted.

    but the spot chart for the same date is adjusted and it shows a continuous chart.

    Reply

    - *Karthik Rangappa* says:
      [November 18, 2017 at 11:00 am]

      Ok, let me check this.

      Reply

129. *abhishek kumar sah* says:
November 16, 2017 at 2:55 pm

1) When the stock split is announced, that day the stock chart shows a gap down. But the next day somehow the price is adjusted. how??

2) If you look at the chat of OIL fut (date-1-12-2017) there is a big gap, due to stock split. But the chart for the same in spot market does not have any gap?

Reply

- *Karthik Rangappa* says:
  November 17, 2017 at 11:59 am

  1) Becuase the stock gets adjusted for the split – this is required to show a continuous chart.
  2) I just checked the charts and it looks fine, can you relook at this? Thanks.

  Reply

  - *abhishek kumar sah* says:
    November 17, 2017 at 12:38 pm

    What is the process to adjust a chart, just reduce every thing to half in case of 1:1 split?

    Reply

    - *Karthik Rangappa* says:
      November 18, 2017 at 11:01 am

      Yup, you will have to do this historically.

      Reply

130. *Ashutosh tilwankar* says:
[October 14, 2017 at 8:02 pm]

Hello,
Sir you said companies issue corporate guidance…where can we find these..??

Thank you!

Reply

- *Karthik Rangappa* says:
  [October 15, 2017 at 10:02 am]

  Not all companies do, but if they do, you can find that in the investor conference transcripts, which will be made available on the company\'s website under the investor\'s section.

  Reply

131. *Deepak* says:
[October 11, 2017 at 1:39 am]

Where Is CPI inflation data available.?
Can someone please post the link. I found 2012 data in gov. webpage –> Ministry of Statistics and Programme implementation

Reply

- *Karthik Rangappa* says:
  [October 12, 2017 at 8:32 am]

  Hey Deepak – these links should help, although you might have to dig around a bit.
  https://tradingeconomics.com/india/consumer-price-index-cpi
  https://data.gov.in/catalog/all-india-consumer-price-index-ruralurban

  Reply

132. *jyotshna* says:
[October 5, 2017 at 12:32 pm]

Hi,
What are the impacts of elections ?
1.) India Loksabha election
2.) Particular states vidhan sabha election.
3.) Election of different countries (say USA, UK, Germany etc).

After election result how it moves (I have seen different party wins election then also market reacts heavily, it\'s not related to 1 party) EX : Delhi AAP won market zoomed, Bihar Nitish Won market zoomed, Maharastra BJP won Market zoomed, Punjab congress won market zoomed.(Expectations were different and results different then also +ve reaction) Why ? Please answer

Reply

- *jyotshna* says:
  [October 9, 2017 at 4:09 pm]

  Please reply

  Reply

- *Karthik Rangappa* says:
  October 10, 2017 at 11:03 am

  I just did!

  Reply

- *Karthik Rangappa* says:
  October 10, 2017 at 11:03 am

  Markets rallies when one party forms a majority. It does not like a split house. This is with an expectation that party in power will take up reform-oriented approach as opposed to getting into cheap politics.

  Reply

133. *Pratap Reddy* says:
May 18, 2017 at 1:05 pm

I thank you Zerodha Team.
I am holding 600 shares of Aurobindo Pharma as on today.
The following is self explanatory from the company:
\”Aurobindo Pharma Ltd has informed BSE that a Meeting of the Board of Directors of the Company will be held on May 29, 2017, inter alia, to consider and approve, the Audited Financial Results of the Company for the year ended March 31, 2017 and also to consider dividend, if any, for the financial year 2016-17.

Further to the letter dated May 12, 2017 informing the closure of Trading Window of the Company from May 18, 2017 until 48 hours from the date of declaration of the Audited Financial Results of the Company for the year ended March 31, 2017, Company inform that trading window will be closed up to May 31, 2017 and shall be re-opened on June 01, 2017.\”
Now my situation is, if I sell, there will be loss of 20% as per the present market.
Pls advise what to do. I will be obliged.

Reply

- *Karthik Rangappa* says:
  May 19, 2017 at 12:49 pm

  The trading window closure is applicable only to the insiders of the company. Not applicable to regular shareholders.

  Reply

  - *Pratap Reddy* says:
    May 19, 2017 at 3:45 pm

    Thank you for the prompt reply.
    They are mentioning \”to consider divident\”, what does it mean ?
    Regular traders do get any benefit from it ?
    Pls clarify.

    Reply

    - *Karthik Rangappa* says:
      May 21, 2017 at 5:39 pm

Dividend is cash payout from the company, this is rewarding shareholders from the profit.

Reply

134. *Harif* says:
March 28, 2017 at 6:31 pm

What are the key factors to watch during Quarterly results(EBITDA etc.,). For example – Lets take Infosys, After results, How/when do we conclude whether the stock will raise or fall?

Reply

- *Karthik Rangappa* says:
  March 29, 2017 at 11:09 am

  For Infy and other IT companies look for guidance for the coming quarters along with Revenue, EBITDA, and PAT (along with its growth and margins). The stock will raise or fall based on the results.

  Reply

  - *Suravi* says:
    June 21, 2018 at 3:09 pm

    Can you please explain a more about EBITDA and PAT.

    Reply

    - *Karthik Rangappa* says:
      June 22, 2018 at 6:10 am

      EBITDA is the operating profit of the company. It is basically Revenue – Expenses. PAT is EBITDA minus applicable taxes and other adjustments.

      Reply

135. *Sameer Desai* says:
March 23, 2017 at 8:54 pm

Hi Karthik,
Why would RBI borrows money from other banks..?
And it is mentioned that, when banks choose to lend money to the RBI instead of the corporate entity, the supply of money in the banking system reduces. Is it not true when the banks lend money to the corporate entities..? or is it that the RBI borrows huge amount than the corporate entities which causes reduction in the supply by other banks?
And great initiative by Zerodha..You guys Rock..!!!!
Thanks in advance

Reply

- *Karthik Rangappa* says:
  March 24, 2017 at 11:50 am

  RBI itself is a bank and it deals only with other banks. So if a bank has excess funds, then it can part that with RBI and earn an interest.

  Reply

136. *Ayush* says:
[March 17, 2017 at 6:30 pm]

How the inflation will affect stock price and investors money?

Reply

- *Karthik Rangappa* says:
  March 18, 2017 at 3:05 pm

  High inflation leads to higher interested rates, which means tighter supply of money, which means businesses cannot borrow money easily, which means lesser business growth, which means stock prices will not go up, which means investors will not make enough money.

  Reply

137. *sudheer* says:
January 31, 2017 at 9:23 pm

considering that during budget time the market will be very volatile,why cant the exchanges be closed for few days , so that investors can take time to digest the news after the news is cooled off and there would be no panic selling?Just a thought..

Reply

- *Karthik Rangappa* says:
  February 1, 2017 at 11:38 am

  That would be considered as market manipulation 🙂

  Reply

138. *Rajiv* says:
January 21, 2017 at 11:13 pm

Hi Sir, thanks for the great article. Just an observation – You have stated \"The RBI meets every quarter to review the rates.\". I think now it is once every two months and not once every quarter. Please correct if I am right. Thanks.

Reply

- *Karthik Rangappa* says:
  January 23, 2017 at 11:36 am

  Rajiv – thanks so much for pointing this out. Will make the correction.

  Reply

139. *Tanya* says:
December 6, 2016 at 9:46 pm

Sir,
Why is every company\'s face value Rs. 10? Which one among the face value and market value is included in the accounts(financial statement) of a company?

Reply

- *Karthik Rangappa* says:

December 7, 2016 at 11:34 am

Its just a norm, not a rule. Usually companies going public like their FV to start at 10.

Reply

140. *Sai Sreedhar* says:
July 24, 2016 at 2:33 pm

Why does the stock price/Index keep moving up/down while the market is closed? I have seen sometimes after 3:30PM the market still keeps moving and the closing price at 4:00PM is different (sometimes it happens until 5:30PM), or sometimes the opening price itself is higher or lesser before 9:15AM, though no trades have happened yet.

Reply

- *Karthik Rangappa* says:
July 25, 2016 at 12:02 pm

  Market closes at 3:30 PM and there wont be any movements after that. At 3:45PM market is open for 10 minute window wherein you can just square off any existing positions, but at the closing prices of the day.

  Reply

  - *Sai Sreedhar* says:
July 25, 2016 at 12:47 pm

    So we get alerts on email when our queries are answered now – pretty cool!!
Is this square off (@ 3:45PM) for only delivery based spot cash purchases, or is it for Futures also?
And what happens between 9:00AM to 9:15AM – the pre-open price is because of the speculation or bulk-orders?

    Reply

    - *Karthik Rangappa* says:
July 26, 2016 at 12:22 pm

      Its between 3:40 PM to 4:00PM, and works only for NSE Eq spot and not F&O.
Between 9:00 – 9:15 AM, we have a pre opening session, I\'d suggest you have a look at this – http://zerodha.com/z-connect/queries/stock-and-fo-queries/pre-marketpost-marketafter-market-orders

      Reply

      - *Sai Sreedhar* says:
July 26, 2016 at 1:55 pm

        Thanks for the link Karthik!
As per the write-up the first 8mins (9:00 to 9:08) is open only is it for Eq Spot and not for F&O – right?

      - *Karthik Rangappa* says:
July 27, 2016 at 11:54 am

        Yup!

- *l_earn_err* says:
  [May 1, 2018 at 9:28 am]()

  I also have seen share prices keep moving/fluctuating even after 03:40 PM or 04:00 PM when market is closed!
  Why does it happen?

  [Reply]()

  - *Karthik Rangappa* says:
    [May 1, 2018 at 10:49 am]()

    That will be the post-market widow. This is basically to square off the position but at the closing price only.

    [Reply]()

141. *Tanmay* says:
[June 4, 2016 at 9:05 am]()

I liked how you have lucidly explained the concepts but there are no examples, as you would provide in the options module. Please include a section where some case studies are discussed around the corporate events, the more the merrier.

[Reply]()

- *Karthik Rangappa* says:
  [June 5, 2016 at 5:23 am]()

  Thanks for the suggestion, will try and do this.

  [Reply]()

142. *Shafeeq* says:
[May 16, 2016 at 10:15 pm]()

Hi.
Does Inflation keeps compounding every year or Can we treat Inflation in same terms as of Simple Interest ?
Thanks

[Reply]()

- *Karthik Rangappa* says:
  [May 17, 2016 at 5:30 am]()

  No, inflation can be controlled by economic tweaking. In fact this is what our beloved RBI Governor Mr.Rajan is trying to achieve!

  [Reply]()

  - *Shafeeq* says:
    [May 17, 2016 at 4:42 pm]()

    So, You mean inflation doesn\'t compound ?

    [Reply]()

- *Karthik Rangappa* says:
  [May 17, 2016 at 8:16 pm]

  Inflation is nothing but the CAGR of the rate at which things are getting expensive.

  Reply

  - *Shafeeq* says:
    May 18, 2016 at 2:31 pm

    Thanks Got it

  - *Karthik Rangappa* says:
    May 18, 2016 at 7:34 pm

    Cheers.

143. *suresh.ks* says:
January 20, 2016 at 5:17 am

Hi, sir
any official link to get informations about stocks\' result,split,bonus, right issues?

Reply

- *Karthik Rangappa* says:
  January 23, 2016 at 2:24 am

  As of now your best bet is Moneycontrol.

  Reply

144. *suresh.ks* says:
January 18, 2016 at 3:47 am

Hi, sir
any reason for declining nifty? For how long will it go down ?

Reply

- *Karthik Rangappa* says:
  January 18, 2016 at 6:12 am

  Decline is mainly due to the situation in Chinese markets. How low will it go? Well, your guess is as good as mine 🙂

  Reply

145. *suresh.ks* says:
January 14, 2016 at 12:52 pm

Hi,sir
How to impact on Indian stock market from other country\'s economy like China,USA,Germany
which country is more impact on our stock market and why please share with details

Reply

- *Karthik Rangappa* says:
  [January 15, 2016 at 5:57 am]

  Suresh – this is a macro economic view and I\’m afraid this cant be explained as a comment. However in a nutshell, US is probably a very important country for us.

  Reply

146. *suresh.ks* says:
[January 12, 2016 at 10:08 am]

Hi, sir
Please share if there any web link to get informations about CPI,PMI,IIP?

Reply

- *Karthik Rangappa* says:
  [January 13, 2016 at 7:07 am]

  All the data you want and more – http://mospi.nic.in/Mospi_New/site/home.aspx

  Check the banner on the left hand side (latest news).

  Reply

  - *mayur v a* says:
    [December 30, 2018 at 11:35 am]

    sir , in mospi website as you said left banner we can get cpi but there is no charts or relevant information ?please can you suggest better website please

    Reply

    - *Karthik Rangappa* says:
      [December 31, 2018 at 11:29 am]

      Can you try trading economics site?

      Reply

147. *suresh.ks* says:
[January 11, 2016 at 7:35 am]

Hi, sir,
Any other events impact on Indian stock market apart from IIp,WPI,CPI,PMI,BUDGET,CORPORATE EARNING ANNOUNCEMENT

Is there any impact from Crude Oil price,any other currency like USD,EURO?
and please share if there any link to get these information

Reply

- *Karthik Rangappa* says:
  [January 12, 2016 at 5:28 am]

  Of course all these things matter a lot for the markets!

  Reply

148. *Sumit* says:
[October 31, 2015 at 5:19 am]

Where can we get these event calendar? like RBI policy announcements dates etc at one place? do zerodha have any tool for this?

Reply

- *Karthik Rangappa* says:
  October 31, 2015 at 2:02 pm

  No Sumit…not yet.

  Reply

149. *Vivek* says:
October 24, 2015 at 6:40 am

Hi Karthik
Market rallied yesterday coz of ECB reforms. And yesterday night news came up that China has cut the rates which led to zooming up of US markets and erasing off the losses of 2015. My questions:
1) Did the US market shoot up as China would again be a lucrative destination for investment plus demand of US tech products would rise?
2) How will this impact Indian market as now India would be losing on the edge it had against China? Overall sentiment of global market is good so I guess Indian market should also rally. But Noting that China is a rival leads me to think that Indian market would be bearish.

I am basically trying to understand the dynamics of global market before I start trading.
Also, during intraday TA of CNX Nifty I seldom find any conclusive results. e.g. lot of Marubuzos and Dojis are visible but the next candle comes out to be against what should have come based on the TA.

And once again thanks for your time and inputs for I know no one else who could sort out these doubts of mine.

Reply

- *Karthik Rangappa* says:
  October 26, 2015 at 6:09 am

  Vivek – honestly very few people with access to right information understand China. Its a difficult economy to understand. I believe the economic dynamics of India and China are very different..with India is a better position. Of course this is just my personal view.

  I would suggest you start with overnight trades (swing trades) before you get into intraday.

  Reply

  - *Keshav* says:
    March 11, 2016 at 8:55 am

    What is an overnight trade? Aren\'t trades restricted to the time when markets are open?

    Reply

    - *Karthik Rangappa* says:
      March 11, 2016 at 9:35 am

Its just a terminology used to convey the fact that you have on open position in the market which you are carrying forward. Example : Monday I buy Nifty futures and sell the same on Wednesday, then it means to say I carried the position overnight (for 2 nights).

Reply

150. *Vivek* says:
September 28, 2015 at 10:33 am

Extension to the above questions
4) The market dragged itself today at EOD. Does this imply anything as to if RBI does cut the rate tomorrow the markets shall improve or the downtrend shall continue as the market has already factored in the rate cut?

Reply

- *Karthik Rangappa* says:
  September 28, 2015 at 1:09 pm

  My guess would be same as yours Vivek 🙂

  Reply

151. *Vivek* says:
September 26, 2015 at 12:22 am

Dear karthik
Could you please explain the anamolous behaviour of CNX Nifty and Bank Nifty w.r.t the Bank rate cuts by the RBI on 15th March and 2nd June. Ideally the above mentioned indices should have zoomed up but the opposite happened. Meanwhile after the rate cut on 15th January, the market rocketed as expected. I\'m still unsure about this behaviour.

Reply

- *Karthik Rangappa* says:
  September 26, 2015 at 1:42 pm

  Well, this is because the market is forward looking, and it always factors in the news especially such as rate cuts.

  Reply

  - *Vivek* says:
    September 26, 2015 at 2:14 pm

    So, going along with the speculations of a rate cut on 29th September, the market would have already discounted the same. From a 15.7 level on 7th Sep to 17.2 level on 24th Sep, one should expect the market to fall even after a rate cut on 29th Sep?
    In simple terms my query is how to know if the market has already factored the expectation or not?

    Thanks in advance

    Reply

    - *Vivek* says:
      September 26, 2015 at 2:15 pm

* Above data was for Bank NIfty Index

Reply

- *Karthik Rangappa* says:
  September 27, 2015 at 2:43 am

  Yeah, bank nifty is more sensitive to RBI decisions.

- *Karthik Rangappa* says:
  September 27, 2015 at 2:43 am

  Yes, my sense is that the market has factored in a rate cut…but if the rates do get slashed by anything more than 25bps, I think markets can rally.

  Reply

  - *Vivek* says:
    September 27, 2015 at 4:37 am

    1) But in the longer run the rate cut is good for Bank and industries as such. So is it profit booking which drags the CNX Nifty and Bank Nifty down after such announcement?
    2) Would it be prudent to bet on PUT options in this scenario or Straddle strategy is better here?
    3) For any of the above is CNX nifty better or Bank Nifty for options trading?
    Thanks in advance and my gratitude towards you for clarifying such doubts. You are like a messiah for me for having cleared such doubts in my mind 🙂

  - *Karthik Rangappa* says:
    September 28, 2015 at 12:44 pm

    My answers as below –

    1) Yes, the movement can be attributed to profit booking. But then do remember if RBI\'s action is beyond the street\'s expectation then the reaction could be far severe. For example everyone now expects a cut (if at all it happens) of about 25bps…but if RBI cuts it by 50 bps or does increases the rate (as opposed to general expectation) then the markets may react quite severely

    2) Buying Put options or call options could be a dangerous idea – suggest you read about volatility in the options chapter

    3) Nifty has a better liquidity hence my preference to trade Nifty

152. *Sumeet* says:
July 9, 2015 at 11:05 am

Every bank is mandatorily required to maintain funds with RBI.
1. What does maintaing funds with RBI really mean?
2. How CRR plays a role in this?

Reply

- *Karthik Rangappa* says:

July 10, 2015 at 5:16 am

So every bank is supposed to maintain some of their deposits with RBI. For example if they have 100Crs in deposits, they maybe required to deposit lets say 10Crs with RBI.

Reply

- *Mangesh Baxi* says:
  June 19, 2018 at 11:43 am

  Is the money deposited with RBI must be used by it for Repo lending (to other banks) ?

  Reply

  - *Karthik Rangappa* says:
    June 19, 2018 at 12:12 pm

    Mangesh, we cant really deposit money with RBI directly.

    Reply

153. *Ankush Agrawal* says:
April 12, 2015 at 10:17 am

Where Can one collect data of Street Expectation ?

Reply

- *Karthik Rangappa* says:
  April 13, 2015 at 6:01 am

  Unfortunately street expectations are not published by anyone…or at least I\’m not aware of anyone doing this.

  Reply

154. *shinde N D* says:
February 27, 2015 at 6:27 pm

Important & better for new trader

Reply

- *Karthik Rangappa* says:
  February 27, 2015 at 7:27 pm

  You bet, it is.

  Reply

155. *Simranjeet* says:
January 24, 2015 at 7:46 pm

Thank you sir

Reply

- *Karthik Rangappa* says:
  January 25, 2015 at 4:28 am

Welcome 🙂

Reply

156. *Simranjeet* says:
January 24, 2015 at 6:47 am

Sir, i am not able to understand \"Purchasing managers index(PMI)\"

Reply

- *Karthik Rangappa* says:
January 24, 2015 at 7:33 am

PMI or the Purchasing Manager\'s Index is an index which measures the activity of a purchasing manager (PM) of a company. This is measured by running a survey across many PM\'s across sectors and industries. If the PM is sheen to be purchasing things for the company then the perception of growth and industrial activity is created, which is good for the markets. Else its considered not so good.

Reply

157. *ANANT* says:
January 23, 2015 at 7:01 pm

By 8% & 7% in Repo and Reverse repo rate, do you mean it is same as we borrow from banks at 11 % ?

Reply

- *Karthik Rangappa* says:
January 24, 2015 at 7:29 am

No, repo & reverse repo rate are rate at which banks transact with RBI. The lending rates to us are different.

Reply

158. *kamaleshnair* says:
November 19, 2014 at 12:34 pm

1. From the close of a quarter/financial year, what are the time limits within which companies must declare the results?
2. In case of insider trading (SAST), what is the time limit to inform the exchanges about it ?
3. Is there any rule/law making it mandatory for companies to report events with financial significance?

Reply

- *Karthik Rangappa* says:
November 19, 2014 at 4:01 pm

Answers in the same order –

1) If I\'m not wrong companies must declare results within 30 days
2) In order to make it a level playing field SEBI mandates the companies to disclose insider trading \'at the earliest\', which pretty much means the company has to declare this information within the same trading day
3) Yes companies have to declare this information.

Reply

- *VRN* says:
  December 3, 2017 at 7:35 pm

  Hi,
  What is insider trading and SAST ? How it works?
  Is their any facility into Versity to get notification once get solution of query?

  Reply

  - *Karthik Rangappa* says:
    December 4, 2017 at 9:50 am

    You should get an email notification when this gets answered. Anyway, insider trading is basically trading on information not known to the public. For example, an employee of TCS can buy the shares of TCS based on his knowledge of the quarterly results yet to be announced.

    Reply

    - *Vijay@Ind* says:
      December 5, 2017 at 3:22 pm

      Thanks Karthik 🙂

    - *Karthik Rangappa* says:
      December 6, 2017 at 11:04 am

      Cheers!

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